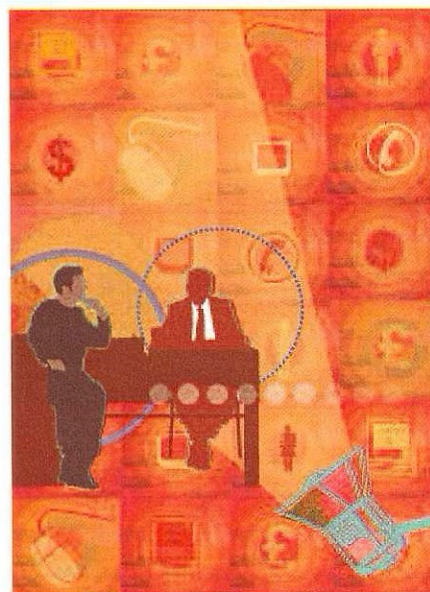


When 120 of Prudential's senior managers met for a conference in Dublin in 2003, the financial services industry had endured a difficult 18 months, characterised by low consumer confidence and poor market conditions.

Not surprisingly therefore, the issue of rebuilding trust with customers - and in a way that would differentiate Prudential from its competitors - became a major focus of the conference. It led to the creation of a programme aimed at transforming customers' experience of dealing with a financial services company.

Two years on, Big Picture looks at how the Customer Experience Programme has evolved, and some of the results it has delivered.



Transforming the customer experience

MANY companies aspire to be customer-centred, believing this is the route to differentiation and value-creation in a highly competitive marketplace - and Prudential is no different.

It sees that by focusing on the customer and getting it right, it will also generate returns for shareholders. By touching people at emotional points in their lives and providing a positive experience, it can build relationships that are strong and rewarding for customers and profitable for Prudential.

Since 2003, a group of managers from across the Group has been leading the way in turning that aspiration into reality. They are: Pierre Fenech and Ajay Srinivasan from Prudential Corporation Asia, Greg Salsbury from Jackson National Life, Angus Maciver from Prudential UK and Europe, and Gary Shaughnessy from M&G.

Their first step was to try to understand the drivers of customer value. Says Pierre: "We realised that, even though each business is quite different, common themes apply across the group. We all need to deliver value to customers. We need to interact with them more so we can identify changes that have taken place in their lives and look for opportunities to up-sell and cross-sell. The insights we are looking for relate

primarily to customers' emotions, how they feel about money and what they want to do with it. If we get to know them better, then we can serve them better and improve persistency. And finally, we need to service our 'orphan' customers, who have been neglected in recent years."

The programme leaders began by sharing their experiences, learning and tools. Best practice and techniques were swapped in areas such as customer segmentation, feedback mechanisms, call tracking and retention strategies. They also began to identify and champion specific customer experience initiatives within their business unit.

"Even though each business is quite different, common themes apply across the group. We all need to deliver value to customers."

Pierre Fenech,
Prudential Corporation Asia

Addressing bereavement in Pru UK

As one of the UK's largest life insurers, Prudential inevitably handles a huge volume of death claims - in the region of 11,400 a month, or 520 a day. In fact, of every four people who die in the UK, one is a Prudential policyholder.

Until recently, the process for making such a claim was daunting. A random example showed a customer having to make 10 telephone calls, and provide around 17 different documents before a payment could be made. Prudential was concerned about the additional stress that this process puts on people at an already difficult time - and, of course, how it affected their view of the company. Moreover, when the process was analysed, much of the documentation was found to be unnecessary given the small size of most claims and the low level of fraud. So the team set about reengineering the whole process, boiling it down to a single phone call, and enabling payments to be made immediately, subject only to receipt of the death certificate.

"We have now reduced the time a claim takes from an average of 70 days to around 10 days," says Angus Maciver. "Simplifying the process has helped customers and saved us several hundred thousand pounds. We have now redeployed that resource elsewhere to further enhance customer service."

Transforming the customer experience (cont)

PruNurture helps Asia

In Asia, the Customer Experience team wanted to create an ongoing and meaningful dialogue between Prudential agents and their customers, so that agents could identify customers' current and future needs better, improve persistency and increase repeat sales.

The answer came in the form of an initiative called PruNurture. Under the programme, customers are segmented and prioritised, and agents are given training, tools and information that they can use to contact their customers. Agents receive a profile of each customer and a summary of their likely needs, based on their life-stage. The information is compiled from market research and analysis of Prudential's own customer base. After each contact, the customer's profile is updated and stored for the next review cycle. Pierre Fenech explains: "Customers say this is the first time agents are talking to them about the things that matter. We have also discovered that when we talk to one customer, the whole family ends up buying products from us."

PruNurture was piloted in three countries. The initial results were not satisfactory but highlighted issues that were ironed out through a test-and-measure approach. Eventually, the results of the third pilot in Singapore were particularly dramatic, where repeat sales rose by 78 per cent and case sizes were 14 per cent higher than elsewhere.



Pierre Fenech joined Prudential in April 2002 as a member of the Board of Prudential Corporation Asia. He now leads Prudential Corporation Asia's initiative that is establishing offshore operations and IT hubs that are delivering customer services, business processing, call centres and other shared services to Prudential's portfolio of growing businesses in Asia. His teams also support the Asian businesses in developing their customer strategy, define their customer experience programmes and implementing customer-centric initiatives. Prior to joining Prudential he was Chief General Manager of Sales & Marketing at Insurance Australia Group.

pierre.fenech@prudential.com.hk

In the UK, the team started by developing new ways to gain real customer insight. Says Angus Maciver: "We had already begun to develop customer closeness techniques and this programme helped us to focus on this. One exercise we adopted was spending an entire day with certain customers, videoing them as they talked about their savings and the future. This helped us see what was important to them and what they feared."

Other initiatives have included setting up events where customers can meet and talk directly with senior managers, and shadowing intermediaries to identify ways to improve the sales process.

INSIGHTS

In all, Pru UK has uncovered 54 insights from its extensive research. These have been developed into ten customer experience principles, which are being used to create new products and processes. The principles will be launched across the business later this year, but can be summarised into three points: trustworthy, helpful, and easy. Says Angus: "We want people to trust the Pru with their money; to think the Pru helped them overcome their problems, and to think we are easy to deal with."

In Asia, where Prudential has 22 businesses across 12 countries, all at different stages of development, improving customer understanding and service across the board is quite a challenge. "We decided that the only way to eat an elephant is in bite-sized chunks," says Pierre Fenech.

Each business therefore appointed a dedicated customer ambassador, who has become the "keeper of customer knowledge" and whose job is to drive customer improvements in their area.

Initiatives have included "Happy Calls", a programme started in China, where applicants receive a call from staff to ensure they fully understand their investment and have the opportunity to ask questions. Customers also receive an explanatory video compact disc (VCD).

Senior Management Team forums have also been introduced to give customers the opportunity to talk and feedback directly to Prudential executives, who previously had little personal contact with customers. One initiative in Korea that found impetus as a result of the feedback from customers at these meetings was "One Call Resolution", which ensures that customers' only have to deal with one person when they call the company, rather than being passed to several areas.

Improving UK persistency

Declining persistency rates is a significant problem for the UK life and pensions industry. Although Prudential's track record on persistency has historically been above average, it is still a big drain on the company's profits, so understanding and addressing the reason that customers leave is a top priority. The team has deployed a range of tools and techniques to tackle the issue, including setting up an "incident room". Angus Maciver explains: "An external consultancy set up the concept and conducted interviews where the 'victim' was the policy and we were determined to find out who had murdered it."

The findings enabled the UK team to devise strategies targeted at these "high risk" groups, including creating a dedicated team to talk to customers who call to ask about surrendering a policy. The team has a 30 per cent success rate in persuading those customers to reconsider.

Pru UK also proactively identifies customers who are considered at risk of surrendering, based on trends and demographics, and proactively targets them with information to reassure them about their policy. It is also testing a dedicated hotline for any questions they might have.

Transforming the customer experience (cont)

Sharing customer information at Jackson

Jackson's wholesalers understand that to be successful, they need to really know their customers, the advisers, but when they gather this knowledge, they often store it in the equivalent of their "little black book", which makes it difficult for it to be disseminated in a way that others across the business can access.

The answer has been to introduce a central customer relationship management database – salesforce.com – onto which wholesalers can input information about their clients. This might include notes from recent meetings and relevant information such as their interest in particular investments, or recent life-changing events such as the birth of a baby. At present, the system is still in its infancy, but in future there is potential to use the database to determine sales trends and to shape product development. Says Greg Cicotte, National Sales Manager at Jackson National Life: "By the end of 2005, this system will enable us to be much more customer-centric."

For the Fund Management business in Asia the focus is on understanding the needs of the customer and developing product and service propositions in response.

Says Ajay Srinivasan: "One thing we promote with all our managers is the fact that the customer has a choice, and if we don't meet their needs as they expect, they will exercise that choice."

SPIN-FREE

Ajay also believes that providing customers and intermediaries with the knowledge they need to understand and find the right products for them is a key area for development. In Malaysia, inspired by M&G's "spin-free guides", they launched a campaign to dispel the myths around investing in funds. They have also concentrated on simplifying literature and creating win-back teams for customers who redeem their policies, using feedback from customers who leave, to improve products and services.

In Jackson National Life, the concept of customer is slightly different as the company operates exclusively through third parties. Says Greg Salsbury: "Our

target audience is the intermediary market, which means focusing on about 250,000 financial advisers."

In particular, the aim has been to help those advisers to meet their customers' increasing need for retirement planning.

Says Greg: "Traditionally death was the biggest fear that Americans faced. Now people are wondering about what happens if their body outlives their portfolio. So, we began doing focus groups with advisers and investors, looking at the different challenges they faced with respect to retirement planning. We covered areas such as inflation, the death of the traditional final salary pension, and social security issues. The information we acquired helped us to build a new sales module entitled "But What if I Live? The American Retirement Crisis."

The module, which was launched in March 2005, encompasses a range of products, and provides presentations, brochures and CDs for advisers and prospective advisers. Initial reactions have been very positive.

M&G is also increasingly focused on serving its "third party" customers. Says Gary Shaughnessy: "The way we get our products to market has changed radically in



Angus Maciver is Director, Brand and Insight, for Prudential UK & Europe Insurance Operations. He is responsible for customer, competitor and market intelligence and insight as well as the representation and promise of the Prudential brand, developing TV advertising and integrated campaigns.

angus.maciver@prudential.co.uk



Greg Salsbury, Executive Vice President, Jackson National Life Distributors, Inc (JNLD) joined the company in 1997 and is currently responsible for aligning Jackson National's marketing resources with distribution strategies, as well as serving as the chief architect of field development programmes. He oversees Marketing, Market Research, National Sales Development, The National Sales Desk, Advanced Markets and The Annuity Support Unit. Before joining JNLD, Greg spent nearly two decades as president of his own firm specialising in marketing and sales communication for the financial services industry.

greg.salsbury@jnli.com

Many initiatives
have yielded
tangible gains in
sales, retention
and efficiency.

Tailoring communication at M&G

M&G's distribution channels have developed and grown over the last few years, ranging from banks and financial institutions, IFAs and charities, through to direct to the investor. This has made it even more important to tailor communications to match the different investor types and levels of sophistication.

To help achieve this, M&G has recently restructured its sales teams around these investor types and created a team of product managers. They work with the distribution teams to produce appropriate investment insights on funds, and tailor presentations for client meetings.

Says Gary Shaughnessy: "In tailoring our investment message for each audience, it is critical that the message is still true to the way the fund manager actually invests and doesn't just become 'spin'. The product managers play a key role in making this happen. Providing understandable investment insight that differentiates us and our funds from the competition is proving to be a real edge."

Transforming the customer experience (cont)

Creating customer relations teams at M&G

According to research, the average M&G customer is aged 62, and has both the time and inclination to talk about his or her investments. Moreover, the company has found that the more time it spends with these customers, the longer they stay as customers and the more business it gets from them, so it has recently created customer relationship managers who are dedicated to doing just that. These managers focus their time on a specific group of high net worth customers and become their individual point of contact for any questions or issues. This service is unique amongst fund managers in the UK.

"One of the biggest things for us to learn has been the art of listening," says Gary Shaughnessy. "We have also learned to be far more proactive. For example, if someone calls to cash in or transfer their investment, we used to think the best service we could give them was to action their request as soon as possible. Now we ask them questions to understand their reasons and explain their alternatives. For example, someone coming up to retirement may want to use their investments to generate income rather than simply capital growth. We can help them achieve that by switching between M&G funds free of charge rather than leaving us and going to the competition. This has helped us reduce our market share of redemptions by 40 per cent over the last year."

recent years. Selling directly to customers used to be the biggest part of our business. Now we do lots of work with intermediaries. Most financial advisers used to be quite similar. Now they come in all shapes and sizes."

M&G's response has been to move away from one-size-fits-all techniques and products, and instead reorganise its business around four distinct customer groups: direct, discretionary brokers, retail IFAs and high net worth individuals. "We now service and communicate with these customers in different ways, according to who they are and what they need," says Gary.

GETTING RESULTS

However, M&G remains conscious that, ultimately, the best customer experience means getting results. "Our first priority must be investment performance, so we have also invested heavily in teams of quality people to run our funds and support them," says Gary. The result is that between September 2002 and January 2004, 64 per cent of M&G's equity funds achieved top quartile investment performance, against 42 per cent and 43 per cent respectively at rivals Fidelity and Artemis.

Two years on, each of the businesses feels it has made significant progress in understanding customers and improving their experience of dealing with the group. Moreover, many initiatives have yielded tangible gains in sales, retention and efficiency, as the case studies in this article show.



Gary Shaughnessy joined M&G in July 1999 and is CEO of its UK Retail business, which includes M&G Securities, M&G Financial Services, and Prudential Unit Trusts as well as four Investment Trust Companies. UK Retail has some £16.8 billion of funds under management, and 625,000 customers, and distributes through the IFA, discretionary and partnership markets, as well as direct to consumers and charities. Prior to joining M&G, Gary was Director of Marketing & Brand Development for AXA Insurance and previous to that was General Manager, Marketing for AA Financial Services.

gary.shaughnessy@mandg.co.uk

"We now service and communicate with customers in different ways, according to who they are and what they need."

Gary Shaughnessy, M&G

Jackson unifies services

Until last year, Jackson National Life's customer service centres in Denver and Lansing each supported a discrete set of products.

This suited advisers that specialised in one type of product, such as annuities, but increasingly advisers were moving towards offering a range of products and the company could see that it could become frustrating for an adviser to have to telephone different service centres for different products.

The answer came in the form of a project called Unified Services, which connected the two centres and enabled associates (employees) at both to be able to deal with advisers across the entire product range. The change has not only meant that calls are dealt with more effectively, but JNL associates have been able to expand their knowledge and gain more job variety by learning new product lines. It has also allowed JNL to introduce an "intelligent" routing system across the two centres which smoothes out peaks and troughs in demand, by transferring calls between areas.

Transforming the customer experience (cont)

Building direct customer relationships in India

In India, Prudential was wrestling with how best to build a closer relationship with its unit trust customers, when these products are all largely sold through intermediaries.

Prudential conducted research to understand what customers really value, and concluded that they could offer a range of after-sales services directly to customers without damaging the intermediary relationship.

Ajay Srinivasan explains: "As soon as a new customer commences their relationship with us, a standard welcome process rolls into action. A specially designed welcome pack is dispatched and followed up with a call a week later, to check that it has been received and to highlight the free value added services, such as the PruTracker web access. After a further three months, we conduct a "Happy Call", to find out about their experience with us so far.

At the other end of the spectrum, we generate a list of customers who have redeemed their investments with us the month before. We use the type of investment last held by the customer, to send a customised letter offering a broad perspective on similar asset class performance, along with a specific alternative investment suggestion with Prudential. This is followed up to reinforce the call to action.

During May to December 2004, the unit contacted about 29,000 customers, with a win-back rate of nearly eight per cent (2,311 customers with approximately \$69 million reinvested).

Both the Welcome & Winback programmes initially started as pilots and are now business-as-usual programmes.



Ajay Srinivasan, Chief Executive, Fund Management, Prudential Corporation Asia, is responsible for Prudential's fund management business in Asia. He oversees Prudential's fast growing mutual funds business, the investment of the Life insurance monies and is responsible for developing Prudential's pensions business in Asia. He has also been closely involved with the establishment of the mutual fund operations in Singapore, Malaysia, India, Taiwan, Hong Kong, Japan, Vietnam and Korea. Ajay has about 17 years of experience in the financial services industry with a track record in successfully establishing new businesses and joint ventures.

ajay.srinivasan@prudential.com.hk